

Barani Group GENERAL TERMS & CONDITIONS FOR SUPPLIER ON-BOARDING	Reference No	P29
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Applies to: All suppliers providing direct materials, components, outsourced processes (e.g., machining, plating, painting, heat treatment), calibration/testing, logistics, and AMC services that may affect product quality or delivery

1) Definitions

- **Company:** The Buyer issuing these terms.
- **Supplier:** Any third party providing goods/services as defined above (includes job-work vendors, manufacturers, traders, dealers, distributors, labs, logistics, AMC).
- **PPAP:** Production Part Approval Process per category table below.
- **ASL:** Approved Suppliers List maintained by Company.

2) Eligibility & Approval

2.1 **Qualification:** Supplier shall complete Company's **Supplier Evaluation & Registration** and undergo **initial supplier audit** as applicable; evidence of valid ISO 9001 / IATF 16949 (as relevant) or NABL (for labs) shall be provided. Customer-designated sources may be exempt from selection audits but remain subject to all other controls.

2.2 **Approval:** Entry to ASL requires meeting selection criteria (capability, trial supply, audit, performance) and **minimum audit score ≥70%**, required **PPAP level approved**, and **no open major NCs**.

2.3 **Status:** Company may classify suppliers A/B/C/D and restrict or disqualify sources per performance rating (see §10).

3) Scope of Supply & Documents

3.1 **Contract Documents:** Purchase/Job Orders (JO/DC), specifications, drawings, special characteristics, and statutory/regulatory requirements (incl. customer-specific requirements) form part of the contract.

3.2 **Traceability & Evidence:** Supplier shall maintain and share required inspection/test reports, MTC/COC/COA, and other objective evidence with each lot, as applicable to the category.

4) Statutory & Regulatory Compliance

Supplier shall ensure all goods/services conform to applicable laws and regulations (e.g., ROHS if required by contract), maintain supporting reports, and provide them to Company on request.

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5) PPAP Requirements

5.1 Minimum Levels:

- **Manufacturers (Tier-1/Tier-2): Level 3** (higher level when new part/supplier, safety-critical, major change, or CSR dictates).
- **Job-work Vendors: Level 2** (Level 3 if critical process).
- **Traders/Dealers/Distributors: Level 1–2 with manufacturer/OEM PPAP reference;** safety-critical parts via traders only if customer-approved.

5.2 **Elements:** As applicable—Design records/ECNs, Process Flow, PFMEA, Control Plan, MSA (GR&R), SPC (Cp/Cpk), Dimensional & Material results, PSW, appearance approval.

5.3 **Changes:** Any process/design/material, tooling, location, or supplier change requires prior written approval and resubmission of PPAP per risk.

6) Audits & Access

6.1 **Right to Audit:** Company (and customers/regulators where required) may conduct **system/process audits** on-site or remote; Supplier shall provide access to facilities, records, and personnel. Non-NABL labs are audited initially and periodically; NABL labs are generally exempt from audit.

6.2 **NC Closure:** Audit nonconformities shall be closed per agreed timeline; failure may impact status/allocations.

7) Quality, Delivery & Containment

7.1 **Incoming/Pre-delivery Controls:** Supplier shall perform pre-dispatch inspection and submit inspection/test reports for each lot where applicable; Company will conduct receiving inspection per its plan.

7.2 **Non-conformance:** For any defect, Supplier shall support **containment, root-cause analysis**, and **corrective action** per Company procedures (e.g., 8D/SCAR). Costs and risk mitigation actions may be recovered/implemented as per PO terms.

7.3 **Controlled Delivery:** Company may impose 100% inspection, controlled shipping, or suspend orders for poor performance grades (see §10).

8) Communication & Documentation

8.1 **Technical Communication:** Drawings and JO/DC are issued via Company's designated channels; Supplier shall ensure latest revision control in PFMEA→Control Plan→Work Instructions link.

8.2 **Records & Retention:** Supplier and Company shall retain defined records (e.g., PPAP—5 years; POs/JO—5 years; performance reports—2 years; others per index) and make them available on request.

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9) Logistics & Packaging

Supplier shall ensure damage-free delivery, FIFO/stock control as applicable, correct statutory documents with shipments, and adherence to any special packaging/handling instructions. Logistics services shall comply with invoice/government document requirements.

10) Performance Monitoring & Rating

10.1 **Scorecard:** Overall rating is a **weighted average** of **Quality (40%), Delivery (30%), SCAR Responsiveness (20%), Audit/System (10%)**, computed monthly/periodically.

10.2 **Scoring Scales:**

- **Quality Score (PPM):** tiered bands up to 100; >100,000 PPM = 0.
- **Delivery Score (OTD%):** ≥95%=100; 90–94%=85; 80–89%=75; <80%=0.
- **SCAR Closure:** ≤30 days=100; 31–45=80; 46–60=60; >60/overdue=0.
- **Audit/System:** ≥90%=100; 80–89%=80; 70–79%=60; <70%/no audit=0.

10.3 **Grades & Actions:**

- **A (≥90%) – Preferred:** eligible for new business; reduced incoming inspection.
- **B (80–89%) – Approved (Conditional):** preventive actions; review 6-monthly.
- **C (70–79%) – Restricted/Development:** no new business; 100% inspection; monthly monitoring; re-audit.
- **D (<70%) – Disqualified:** orders stopped; removal from ASL until re-approval.
Suppliers must maintain **≥70%** per part to continue orders.

11) Job Order/PO Amendments

Price/quantity/tax/specification/term changes are effected only through an **Amendment Job Order** authorized by the **Purchase Head**.

12) Supplier Development

Company may issue a **Supplier Manual**, plan audits/PPAP, and mandate development actions to meet QMS requirements. Supplier shall cooperate with agreed improvement plans.

13) Confidentiality & IP

All drawings, specifications, data, tooling, gauges, and samples remain Company property and are confidential. Use is restricted to fulfilling Company orders; no disclosure without prior written consent.

14) Sub-tier Control

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Supplier shall flow down all applicable requirements (incl. CSR/PPAP/traceability/special characteristics) to sub-suppliers and remains responsible for their performance.

15) Business Continuity & Risk

Supplier shall maintain reasonable business continuity measures (e.g., alternate sources, critical spares, disaster recovery) proportional to risk and inform Company promptly of any risk to supply.

16) Legal, Taxes & Invoicing (India)

Invoices must comply with GST and other applicable tax regulations and reference valid PO/JO numbers. Payments follow the PO terms; set-offs may be applied for quality or delivery failures supported by records.

17) Termination/Suspension

Company may suspend or terminate for convenience or for cause (e.g., quality/delivery failures, audit NCs not closed, legal non-compliance), without prejudice to other remedies.

18) Records, Retention & Right to Review

Retention periods shall meet or exceed the Company matrix; Company reserves the right to review records during audits or investigations.

19) Governing Law & Dispute Resolution

Subject to the courts/jurisdiction specified in the PO/contract. Parties shall first attempt amicable resolution through management review.

Category-wise PPAP & Control Matrix (Summary for the T&C Annex)

- **Manufacturers:** Audit **Yes**; **PPAP ≥ Level 3** (Level 4/5 when risk/CSR requires); full core elements; mandatory for new/critical.
- **Job-work Vendors:** Audit **Yes**; **PPAP Level 2** (Level 3 for critical); process-focused PFMEA/CP/WI, first-off/last-off, PSW.
- **Traders:** Audit **No**; **PPAP Level 1/2** with **manufacturer PPAP reference**, MTC/COC, incoming records; restricted for safety-critical unless customer-approved.
- **Dealers/Distributors:** Audit **No**; **Level 1 (PSW)** with OEM authorization/PPAP reference; FIFO/stock controls; delivery records.
- **Calibration/Testing Labs:** Prefer **NABL**; NABL labs: audit **not applicable**; non-NABL: **annual audit** per internal procedure.
- **Logistics/AMC:** Communication via invoice/AMC contract; periodic service reports maintained by the respective function.

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20) Supplier Code of Conduct (Ethics, EHS & Anti-Bribery)

The Supplier shall conduct business in an ethical, transparent, and responsible manner. By accepting any Purchase Order/Job Order from the Company, the Supplier agrees to comply with the following principles:

20.1 Ethical Business Practices

- Operate with integrity, honesty, and fairness.
- Avoid conflicts of interest, fraud, misrepresentation, or deceptive business practices.
- Prohibit use of forced labor, child labor, or discriminatory practices in recruitment or operations.

20.2 Anti-Bribery & Anti-Corruption

- Supplier shall strictly refrain from offering, giving, requesting, or accepting any bribe, kickback, gift, or improper payment intended to influence a business decision.
- Compliance with all applicable anti-corruption laws is mandatory (including any local anti-corruption acts and global standards).
- Any attempt to influence Company personnel improperly will result in immediate removal from the Approved Supplier List (ASL) and possible legal action.

20.3 Environmental, Health & Safety (EHS)

- Supplier shall maintain a safe working environment, comply with all EHS regulations, and ensure safe handling, storage, and disposal of materials.
- Adequate PPE, emergency plans, and hazard controls shall be maintained.
- Supplier shall prevent pollution, minimize waste, and comply with national environmental laws.
- Suppliers handling hazardous materials must provide SDS and follow applicable safe-handling standards.

20.4 Human Rights & Labor Practices

- Supplier shall uphold human rights, provide lawful wages and working hours, and prohibit harassment or abuse.
- Freedom of association and fair treatment of employees must be respected.

20.5 Reporting & Transparency

- Supplier shall promptly report any unethical conduct, suspected violations, or serious EHS incidents to the Company.

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- The Company reserves the right to audit the Supplier's ethical, safety, and environmental practices.

21) Data Protection, Intellectual Property & Confidentiality

21.1 Confidential Information

All technical, commercial, operational, or proprietary information—including drawings, specifications, tooling data, CAD models, process documents, samples, designs, prototypes, engineering change information, and customer-specific requirements—shared by the Company is **strictly confidential**.

21.2 Use Limitation

- Confidential information shall be used **solely** for the purpose of manufacturing or supplying goods/services to the Company.
- The Supplier shall not use Company information for their own benefit or for any third party.

21.3 Protection of Drawings, Tooling & Technical Data

- Drawings, models, gauges, fixtures, dies, tooling, jigs, or digital files provided by the Company remain Company property at all times.
- Supplier shall implement controls to protect these assets, including:
 - Restricted access to authorized personnel only
 - No duplication, distribution, or external sharing without written approval
 - Secure digital storage with version control
 - Controlled printing and disposal of physical documents
- Upon request, Supplier shall return or securely destroy all confidential documents.

21.4 Sub-Supplier Flow-Down

- Supplier shall flow down confidentiality and IP protection requirements to their sub-suppliers.
- Supplier remains fully responsible for misuse of information by any sub-tier source.

21.5 Data Security

Supplier shall maintain reasonable data-security measures, including:

- Protection against unauthorized access, data theft, malware, or cyber-intrusion
- Secure transmission of files (encrypted or access-controlled where required)
- Secure backup of quality and production records.

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21.6 Breach of Confidentiality

Any disclosure or misuse of Company information, intentional or accidental, may result in:

- Removal from ASL
- Claim for damages
- Legal action
- Immediate cancellation of orders